

TOTAL KENYA PLC

SUMMARY OF UNAUDITED FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE 2018

STATEMENT OF FINANCIAL POSITION

AS AT	30 June 2018 Kes'000'	31 Dec 2017 Kes'000'
ASSETS		
Non-current assets		
Property, plant and equipment, prepaid operating leases and intangible assets	11,041,069	10,781,167
Goodwill	416,679	416,679
Deferred tax asset	335,742	335,743
Total non-current assets	11,793,490	11,533,589
Current assets		
Inventories	14,756,978	12,461,179
Trade and other receivables	8,577,981	11,198,718
Cash and cash equivalents	1,924,792	2,818,629
Total current assets	25,259,751	26,478,526
TOTAL ASSETS	37,053,241	38,012,115
EQUITY AND LIABILITIES		
Equity		
Share capital	9,974,771	9,974,771
Share premium	1,967,520	1,967,520
Retained earnings	9,691,944	9,474,928
Total equity	21,634,235	21,417,219
Non-current liabilities		
Trade and other payables	1,318,920	1,339,206
Current liabilities		
Trade and other payables	9,683,199	10,087,337
Short term borrowings	4,416,887	5,168,353
Total current liabilities	14,100,086	15,255,690
TOTAL EQUITY AND LIABILITIES	37,053,241	38,012,115

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE PERIOD ENDED	30 June 2018 Kes'000'	30 June 2017 Kes'000'
Gross sales	57,681,983	71,759,795
Indirect taxes and duties	(13,651,320)	(13,082,998)
Net sales	44,030,663	58,676,797
Cost of sales	(39,953,603)	(54,459,794)
Gross profit	4,077,060	4,217,003
Other income	357,345	431,803
Operating expenses	(2,977,999)	(2,987,122)
Finance income - Net	125,873	141,668
Net foreign exchange gain/(loss)	33,596	(109,602)
Profit before tax	1,615,875	1,693,750
Tax charge	(580,454)	(735,552)
Profit for the period	1,035,421	958,198
Other comprehensive income, net of tax	-	-
Total comprehensive income for the period	1,035,421	958,198
Earnings per share (basic and diluted) (Kshs)	1.64	1.52

STATEMENT OF CASH FLOWS

FOR THE PERIOD ENDED	30 June 2018 Kes'000'	30 June 2017 Kes'000'
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash generated from operations	1,237,226	1,219,850
Tax paid	(507,812)	(998,322)
Net cash generated from operating activities	729,414	221,528
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property, plant and equipment, prepaid operating leases and intangible assets	(1,005,031)	(489,732)
Proceeds on disposal of property, plant and equipment	7,373	55,068
Interest earned	175,380	161,071
Net cash used in investing activities	(822,278)	(273,593)
CASH FLOWS FROM FINANCING ACTIVITIES		
Interest paid	(49,507)	(19,402)
Net cash used in financing activities	(49,507)	(19,402)
Net increase/(decrease) in cash and cash equivalents		
CASH AND CASH EQUIVALENTS	(142,371)	(71,467)
As at 1 January	(2,349,724)	(278,826)
As at 30 June	(2,492,095)	(350,293)

STATEMENT OF CHANGES IN EQUITY

FOR THE PERIOD ENDED 30 JUNE 2018	Share Capital Kes'000'	Share Premium Kes'000'	Retained Earnings Kes'000'	Total Equity Kes'000'
As at 1 January 2017	9,974,771	1,967,520	7,406,999	19,349,290
Declared Dividends - 2016	-	-	(670,288)	(670,288)
Profit for the six months period	-	-	958,198	958,198
Other Comprehensive Income	-	-	-	-
Total Comprehensive Income	-	-	958,198	958,198
As at 30 June 2017	9,974,771	1,967,520	7,694,909	19,637,200
As at 1 January 2018	9,974,771	1,967,520	9,474,928	21,417,219
Declared Dividends - 2017	-	-	(818,405)	(818,405)
Profit for the six months period	-	-	1,035,421	1,035,421
Other Comprehensive Income	-	-	-	-
Total Comprehensive Income	-	-	1,035,421	1,035,421
As at 30 June 2018	9,974,771	1,967,520	9,691,944	21,634,235

COMMENTS ON THE UNAUDITED FINANCIAL STATEMENTS AS AT JUNE 30, 2018

Total Kenya improved its total comprehensive income for the period ended June 30, 2018 by 8% compared to 2017. The main factors contributing to this performance are attributed to the prudent management of operating expenses and the continued focus on profitable business segments and leveraging on new business opportunities.

The gross profit was mainly impacted by the effect of Platts and resulted in a 3 % decrease as compared to 2017. Other Income excluding exceptional items of Kes 78 million relating to write-ins of excess provisions and assets disposals booked in 2017 increased marginally by 1%. Operating expenses remained stable as a result of prudent management of fixed costs despite the impact of inflation and increased depreciation emanating from new investments. Net finance income of Kes 126 million resulted from positive cash position in Kenyan shillings net of interest paid on US dollar financing.

The Foreign Exchange gain of Kes 34 million is mainly attributable to the stability of the Kenyan shilling against the major currencies compared to a more volatile exchange rates in the first half of 2017. Profit before tax was slightly lower compared 2017, while the after tax-profit for the period improved by 8% to Kes 1,035 million thanks to a lower tax base. The Company's Statement of Financial Position remained strong with net investment increasing by 2% and a stable working capital.

OUTLOOK

The Company continues to foresee a strong macro-economic environment which remains conducive to sustain the Company's strategy. In addition, the Company is expecting a few changes in the regulatory framework including tax regulations that will further boost economic growth and business activities. Management is confident in the Company's performance and ability towards meeting the set objectives in the second-half of the year.

By order of the Board
Anne-Solange RENOUARD
Managing Director
August 20, 2018

